Establishing authority and responsibility: For doing the job allotted every individual needs some authority. The assignment of the authority results in creation of superior subordinate relationship and the question of who reports to whom is clarified. So with establishment of the authority the individual can perform their jobs and everyone knows who will report to whom.

Delegation of Authority: Each employee is delegated with authority. Without authority the employees cannot carry out their responsibility. Authority has the right to give orders and power to get the work done. The authority given to the employee should be equal to the responsibility given to them.

Providing employees all required resources: After defining the authority relationship the employees should be provided with all resources which is needed to perform the job.

Coordinating all activities: The efforts of all activities are brought together to attain the common goal.

3.7 Formal and informal organisation

Formal organisation: Formal organisation deliberately and consciously creates for the accomplishment of organisational goal. Organisation is a well-defined structure of authority and responsibility that defines delegation of authority and relationship amongst the organisational members. It provides official relationships between the individuals. The communication channel in a formal organisation is also official. Rules and procedures are well defined in formal organisation. Formal organisation facilitates coordination, integration of the diverse departments within an enterprise.

Definition of Formal organisation

According to M. P. Sharma, **"Formal organisation means the organisation as deliberately planned, designed and duly sanctioned by competent authority".**

In the words of Barnard, **"Formal organisation is a system of consciously coordinated activities or forces of two or more persons".**

Merits of formal organisation

1. Systematic working: Formal organisation structure results in systematic and smooth functioning of an organisation.
2. Achievement of organisational objectives: It is established to achieve organisational objectives without any confusion.
3. No overlapping of work: Informal organisation's work is systematically divided among various departments and employees. So there is no chance for overlapping of work.
4. Co-ordination: It results in coordinating the activities of various departments to attain the common goal.
5. Creation of chain of command: Formal organisational structure clearly defines superior subordinate relationship i.e., who should report to whom?
6. More emphasis on work: Formal organisational structure lays more emphasis on work than interpersonal relations.

Demerits of formal organisations

1. Delay: The actions will get delayed because of following chain of command and scalar chain.
2. Ignores social needs of employees: It does not give importance to social needs of employees which may lead to demotion of employees.

XII OSS_English version CHAPTER 03.indd 30 1/7/2020 5:42:44 PM